

CENTRAL BANK OF SRI LANKA
Bank Supervision Department
Circular No. 07/2024 dated 15 May 2024.

Subject: Enhanced Customer Due Diligence and Anti-Money Laundering Controls.

All licensed commercial banks are hereby directed to strengthen their anti-money laundering and customer due diligence procedures with immediate effect. Banks shall conduct enhanced due diligence for all customer accounts where the aggregate monthly transaction value exceeds Rs. 5,000,000. Every bank must verify the source of funds and the beneficial ownership of such accounts before processing high-value transactions. Suspicious transaction reports shall be filed with the Financial Intelligence Unit within twenty-four hours of detection. Banks are required to maintain transaction records for a minimum period of six years. Each bank shall appoint a dedicated Compliance Officer responsible for monitoring adherence to know-your-customer requirements and submitting quarterly compliance reports to the Central Bank. Failure to comply with these directions will result in regulatory penalties under the Financial Transactions Reporting Act No. 6 of 2006. All banks must complete implementation and confirm compliance to the Bank Supervision Department by 30 June 2024.